Immigration, Internal Migration, and the Rental Market

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Abstract

This paper investigates the effect of immigration on the housing market and how internal migration can amplify or offset these effects. I extend existing decompositions of the total effect of immigration by allowing natives' location choices to depend on immigration shocks in both their current locations and their prospective destinations. Even in the absence of a native response to immigration in other locations, the model shows that regions will still be affected by other regions' immigration shocks. Importantly, the magnitude of the response depends on the regional population size relative to the national population. I study this question empirically in the context of the Canadian rental market during a period of high immigration from 2015 to 2024. Using linked Canadian administrative data, I construct an instrument exploiting the rapid increase in international student arrivals in Canada following national-level policy changes. This work highlights the difficulty of designing place-based immigration policies in the presence of free mobility.

Keywords: Immigration; Internal Migration; Native Displacement; Rent

Full draft coming soon.

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